

Edeviser — Capital Requirement & Strategic Rationale

PKR 2M Bridge Capital for Qatar Market Entry & Product Scalability

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1. Context — Why PKR 2M and What Is It For?

Edeviser is a production-ready OBE + Gamification platform targeting the Qatar higher education market. The product is built — 17+ feature modules, 25+ Edge Functions, 30+ database tables with RLS, full Arabic/English i18n, and a science-backed dual-engine architecture.

The PKR 2M is bridge capital covering two parallel tracks:

1. Qatar market entry — founder relocation, legal entity, regulatory compliance (approximately PKR 1.4M)
2. Product scalability — infrastructure, AI APIs, dev tooling to keep the platform production-grade (approximately PKR 600K for the first 6 months)

The critical point: the entire Qatar setup cost (approximately PKR 1.4M) is reimbursable through the Ignite Bridge Startup Program (<https://ignite.org.pk/bridgestart/>) at approximately month 6-7. Once reimbursed, that PKR 1.4M returns as working capital, funding another 6 months of operations. This gives the company an effective 12-month runway from a PKR 2M raise.

2. Complete Cost Breakdown

2.1 Qatar Setup Costs (One-Time, Reimbursable) — PKR 1,376,000

Founder Relocation (2 Founders)

Item	Per Founder	For 2 Founders
One-way air ticket	PKR 90,000	PKR 180,000
Work visa processing	PKR 60,000	PKR 120,000
QID (Qatar Residency Permit) — medical, biometrics, residency issuance	QAR 4,000 (approx. PKR 290,000)	PKR 580,000
Subtotal per founder	PKR 440,000	PKR 880,000

Founders contribute approximately 30% personally. Company-side cost: approximately PKR 616,000.

Short-Term Accommodation

Item	Cost
1-bedroom apartment	QAR 1,800/month (approx. PKR 133,000/month)
Duration	1–2 months (until QSTP housing)
Estimated total	PKR 200,000 (avg 1.5 months)

Note: Excludes utilities, travel, and daily living — strictly setup-related.

Regulatory & Company Setup (QFC Mandatory)

Item	Cost	Notes
Authorized Auditor (required within 3 months)	PKR 280,000/year	50% reimbursed by QSTP after payment
Corporate bank account minimum balance	QAR 5,000 (approx. PKR 280,000)	Must be maintained; required for operations
Subtotal	PKR 560,000	

Qatar Setup Total (Reimbursable via Bridge Program)

Component	Amount (PKR)
Founder relocation (adjusted after 30% personal contribution)	616,000
Accommodation (avg 1.5 months)	200,000
Regulatory + banking	560,000
Qatar setup total	PKR 1,376,000

This entire amount is expected to be reimbursed by the Bridge Startup Program at approximately month 6-7.

2.2 Product Scalability Costs (Monthly Recurring)

These are the costs to keep Edeviser running as a production platform during pilot and early growth.

Infrastructure (Pilot Stage — 500 users, 1 institution)

Edeviser runs 5 AI features (at-risk prediction, module suggestions, feedback drafts, adaptive quiz generation, post-quiz explanations) plus RAG embeddings. At 500 active students, estimated monthly token usage based on GPT-4o pricing (\$2.50/1M input, \$10.00/1M output):

- At-risk predictions: approx. 2M input + 400K output tokens/mo = \$9.00
- Module suggestions: approx. 1.5M input + 300K output = \$6.75
- Feedback drafts: approx. 4M input + 1M output = \$20.00
- Quiz generation: approx. 2M input + 500K output = \$10.00
- Post-quiz explanations: approx. 3M input + 800K output = \$15.50
- RAG embeddings (text-embedding-3-small at \$0.02/1M, text-embedding-3-large at \$0.13/1M): 5–15M tokens/mo = \$0.10–\$1.95, with bulk indexing spikes up to \$3–\$5

Service	Monthly Cost (USD)	Monthly Cost (PKR)
Supabase Pro + compute	\$50	PKR 14,000
Vercel Pro	\$20	PKR 5,600
AI/LLM APIs (GPT-4o via OpenRouter)	\$60–80	PKR 16,800–22,400
AI Embeddings (text-embedding-3-small/large)	\$2–5	PKR 560–1,400
Resend Pro (transactional email, 50K/mo)	\$20	PKR 5,600
Sentry (error monitoring)	\$29	PKR 8,120
Subtotal infrastructure	approx. \$181–206	approx. PKR 50,680–57,680

Dev Tooling (Fixed, regardless of user count)

Tool	Monthly (USD)	Monthly (PKR)	Purpose
Claude Code (Anthropic Max)	\$200	PKR 56,000	AI-assisted development
GitHub Enterprise Cloud (2 users, includes Copilot)	\$42	PKR 11,760	Source control, CI/CD, AI code completion
CodeRabbit Pro	\$19	PKR 5,320	Automated PR review
Figma Professional (2 editors)	\$30	PKR 8,400	UI/UX design and handoff
Postman Basic	\$14	PKR 3,920	API testing
Kiro IDE Max	\$39	PKR 10,920	Spec-driven development
Subtotal dev tooling	approx. \$344	approx. PKR 96,320	

These tools are essential to the engineering workflow and directly replace the need for additional engineering hires. A single developer with this tooling stack maintains velocity equivalent to a 3-person team without them. Each tool serves a distinct role in the development pipeline — from AI-assisted coding and automated code review to design handoff, API testing, and spec-driven development — and all are required to maintain production-grade quality at the current team size.

Combined Monthly Burn

Scenario	Infrastructure	Dev Tooling	Total/month (PKR)
Lean (essential tools only)	approx. PKR 51,000	approx. PKR 79,000 (Claude + Kiro + GitHub)	approx. PKR 130,000
Standard (recommended)	approx. PKR 55,000	approx. PKR 96,000 (all tools)	approx. PKR 151,000
Growth (3 institutions, 2K users)	approx. PKR 79,000	approx. PKR 96,000	approx. PKR 175,000

2.3 Full PKR 2M Allocation

Category	Amount (PKR)	% of Total
Founder relocation (2 founders, after 30% personal contribution)	616,000	30.8%
Short-term accommodation (1.5 months avg)	200,000	10.0%
Regulatory & company setup (QFC auditor + bank)	560,000	28.0%
Product infrastructure + dev tooling (first 6 months)	624,000	31.2%
Total	PKR 2,000,000	100%

3. The 12-Month Runway Model

This is the core financial logic of the PKR 2M raise:

Phase 1: Months 1–6 (Funded by the PKR 2M raise)

Qatar setup costs consume approximately PKR 1,376,000 in months 1–3. During these months, founders are focused on relocation and legal setup, so only infrastructure costs are needed (no dev tooling). From month 4 onward, lean dev tooling is added as pilot work begins. This phased approach stretches the remaining PKR 624,000 across 6 months.

Month	Event	One-Time Cost	Monthly Burn	Cumulative Spend	Remaining
Month 1	Flights, visa, apartment deposit	PKR 749,000	PKR 55,000 (infra only)	PKR 804,000	PKR 1,196,000
Month 2	QID processing, auditor payment	PKR 280,000	PKR 55,000 (infra only)	PKR 1,139,000	PKR 861,000
Month 3	Bank account setup, QSTP housing transition	PKR 280,000 (retained)	PKR 55,000 (infra only)	PKR 1,474,000	PKR 526,000
Month 4	Pilot deployment begins	—	PKR 130,000 (lean)	PKR 1,604,000	PKR 396,000
Month 5	Pilot running, feedback collection	—	PKR 130,000 (lean)	PKR 1,734,000	PKR 266,000
Month 6	Pilot iteration, Bridge reimbursement arrives	—	PKR 130,000 (lean)	PKR 1,864,000	PKR 136,000

Phase 2: Months 7–12 (Funded by Bridge Program Reimbursement)

At month 6-7, the Bridge Startup Program reimburses the Qatar setup costs. Expected reimbursement: approximately PKR 1,376,000. Combined with the PKR 136,000 remaining from Phase 1, this gives PKR 1,512,000 for Phase 2 operations at standard burn.

Month	Event	Reimbursement	Monthly Burn	Cumulative (Phase 2)	Remaining
Month 7	Reimbursement arrives, expanded pilot	+PKR 1,376,000	PKR 151,000 (standard)	PKR 151,000	PKR 1,361,000
Month 8	2nd institution outreach, pricing finalization	—	PKR 151,000	PKR 302,000	PKR 1,210,000
Month 9	First paid contract expected	—	PKR 151,000	PKR 453,000	PKR 1,059,000
Month 10	Revenue begins (even partial)	—	PKR 151,000	PKR 604,000	PKR 908,000
Month 11	Scaling pilot, 2nd institution onboarding	—	PKR 151,000	PKR 755,000	PKR 757,000
Month 12	Commercial operations established	—	PKR 151,000	PKR 906,000	PKR 606,000

At month 12, approximately PKR 606,000 remains as buffer — over 4 additional months of lean runway.

3.1 Runway Summary

Phase	Funded By	Duration	Monthly Burn
Phase 1 (Months 1–3)	PKR 2M raise	3 months	PKR 55,000 (infra only, setup phase)
Phase 1 (Months 4–6)	PKR 2M raise	3 months	PKR 130,000 (lean, pilot begins)
Phase 2 (Months 7–12)	Bridge reimbursement (approx. PKR 1.38M)	6 months	PKR 151,000 (standard)
Buffer remaining at month 12	—	approx. 4 months additional	—
Total effective runway		12 months + 4 month buffer	

3.2 What Happens at Each Milestone

Month	Milestone	Risk Level
Month 1–3	Qatar setup complete, legal entity operational	Low (costs are known and fixed)
Month 4–6	Pilot running at 1 university, feedback loop active	Medium (depends on university procurement speed)
Month 6–7	Bridge reimbursement arrives, extends runway to 12+ months	Low (program is established, application in progress)
Month 9–10	First paid contract expected	Medium (revenue timing is uncertain)
Month 12	Commercial operations with PKR 606K buffer remaining	Low (self-sustaining if even 1 contract signed)

4. Product Scalability

4.1 Current Stack (No Change Needed)

React 18 + TypeScript + Supabase + Vercel. This stack handles 50,000+ users. Supabase is open-source — migration path to AWS exists if needed at 50+ institutions. No stack change is planned.

4.2 What the Monthly Infrastructure Budget Covers

At pilot stage (approx. \$180–210/mo infrastructure):

- Supabase Pro with 2 vCPU/4GB compute — handles 500+ concurrent users
- Vercel Pro with CDN — global frontend delivery
- AI APIs — at-risk prediction, module suggestions, feedback drafts, adaptive quizzes all live
- Sentry — production error monitoring and performance tracing
- Realtime subscriptions — live leaderboard, grade notifications, streak updates

4.3 Scaling Path

Scale	Users	Infrastructure/mo	What Changes
Pilot	500	approx. PKR 55,000	Current setup, no changes
Early Growth	2,000	approx. PKR 79,000	Supabase compute upgrade, AI cost increase
Growth	10,000	approx. PKR 150,000	Supabase Team plan, Redis cache, CDN optimization

4.4 Product Iteration Roadmap

Phase	Timeline	Focus
Production Hardening	Apr–Jun 2026	RLS audit, load testing, Qatar accreditation templates, Arabic review
Pilot v1	Jun–Aug 2026	1 university, 1–2 departments, 200–500 students
Iteration	Aug–Sep 2026	Top 10 feedback items, performance optimization
Pilot v2	Sep–Nov 2026	Expand to 2–3 departments, enable AI features at scale
Commercial Launch	Nov 2026+	Pricing finalized, contracts signed, 2nd institution

4.5 Features Prioritized for Scalability

Feature	Status	Why It Matters for Scale
SSO (Google/Azure AD)	Planned	Universities won't sign without it
AI Chat Tutor (RAG)	Designed	Key differentiator; pgvector already in stack
Connection pooling (PgBouncer)	Planned	Required at 1,000+ concurrent connections
Redis leaderboard cache	Planned	Eliminates expensive real-time queries at scale
Database indexing optimization	Planned	Prevents query degradation as data grows

5. Revenue Model & Path to Sustainability

5.1 Pricing Framework

Tier	Students	Annual License	Implementation Fee
Starter	Up to 500	\$30K–50K	\$10K
Growth	500–2,000	\$50K–100K	\$20K
Enterprise	2,000+	\$100K–250K	\$40K

5.2 Revenue Timeline

Period	Institutions	ARR (PKR)
Q4 2026	1 (pilot, discounted)	approx. PKR 4.2M
Q2 2027	3	approx. PKR 33.6M
Q4 2027	5	approx. PKR 70M

A single discounted pilot contract (approx. PKR 4.2M/year) exceeds the entire PKR 2M bridge capital. The first paid contract makes the company self-sustaining on infrastructure costs.

5.3 Market Context

The EdTech market in the GCC is projected at \$7.2B by 2027 (HolonIQ). Qatar has 12 universities and 30+ technical colleges under QNV 2030 with active OBE mandates. No dominant OBE + engagement platform exists in the region.

6. The approx. 5% Equity Discussion

6.1 Framing

The PKR 2M against approx. 5% equity was an initial reference to open discussion, not a fixed structure. The founder's preference is to keep flexibility through a SAFE or convertible note, deferring valuation to a stage with stronger product validation and in-market traction.

Given the nature of this capital (short-term, largely reimbursable), a convertible instrument feels more aligned than committing to equity early.

6.2 Preferred Structure (In Order)

- 1. Internal support or strategic capital (aligned partner, no external pressure)
- 2. SAFE or convertible note (defer valuation to revenue milestone or Series A)
- 3. Small equity round (approx. 5%) only if options 1–2 are not viable

6.3 What Happens Without This Capital?

Dimension	With PKR 2M	Without
Qatar legal presence	QFC entity + QID within 2–3 months	Cannot operate legally
Pilot timeline	Jun 2026	Dec 2026 at earliest
AI features	Live from day 1 (at-risk, adaptive quizzes)	Dormant (no API budget)
Production quality	Sentry monitoring, CI/CD, proper infrastructure	Best-effort, no guarantees
University contracts	Can sign institutional agreements	No legal entity = no contracts
Runway	12 months (with Bridge reimbursement)	Zero
Founder focus	100% product + market	Split between survival and execution

6.4 Reimbursement Factor

The entire Qatar setup cost (approx. PKR 1.4M) is reimbursable through the Bridge Startup Program after approximately 6 months. This means the effective net capital requirement is only approx. PKR 624,000 (the infrastructure/tooling portion). The remaining PKR 1.4M is a timing bridge that returns as working capital, extending the runway from 6 months to 12+ months.

7. Summary

PKR 2M covers Qatar market entry (approx. PKR 1.4M for relocation, QFC entity, regulatory compliance) plus 6 months of product infrastructure. At month 6-7, the Bridge Startup Program reimburses the Qatar costs, injecting approx. PKR 1.4M back as working capital for another 6 months. Total effective runway: 12 months with a PKR 606K buffer. A single pilot contract (approx. PKR 4.2M/year) exceeds the entire raise and makes the company self-sustaining. The preferred structure is a SAFE or convertible note to avoid premature dilution.